

The Reserve Bank of India (RBI) Anti-Money Laundering (AML) directives require all financial institutions to establish strict Master Direction on KYC and Customer Due Diligence (CDD) programs. These regulations enforce the Prevention of Money Laundering Act (PMLA), demanding ongoing transaction monitoring and the reporting of suspicious activities to the Financial Intelligence Unit - India (FIU-IND). Core elements of the RBI's AML/KYC framework include:

Four Key Elements: A bank's policy must include a Customer Acceptance Policy (CAP), Customer Identification Procedures, monitoring of transactions, and risk management.

Mandatory Documentation: Only specific official documents are accepted for identity and address proof.

Risk Categorization: Customers are segmented into low, medium, and high-risk categories for Customer Due Diligence (CDD), with stricter scrutiny for Politically Exposed Persons (PEPs). The complete and official regulatory framework is detailed in the primary RBI Master Direction on KYC/AML.